T-12 OPERATING STATEMENT

Oakmont Villas | Sacramento, CA

Property	Oakmont Villas
Period Ending	September 1, 2026
Basis	Accrual - Trailing 12 Months
Prepared By	Lumen Residential Services
Size	305 apartment homes

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	431,288	413,370	417,520	389,498	403,676	389,598	433,775	405,612	388,379	415,024	407,571	438,226	4,933,535
4010 Loss to Lease	294,703	281,193	268,864	290,222	299,251	273,465	285,788	301,366	288,867	274,794	283,674	263,898	3,406,085
4020 Vacancy Loss	231,688	218,716	211,744	228,569	224,482	219,776	214,763	224,988	234,056	218,593	229,636	209,347	2,666,359
4030 Concessions	272,310	277,121	259,857	262,796	260,440	278,161	276,814	261,954	272,317	258,492	257,715	264,211	3,202,189
4040 Bad Debt	192,567	188,904	186,590	187,556	180,257	183,282	172,844	181,172	192,332	178,093	168,202	191,556	2,203,355
4050 Late Fees	171,668	179,597	174,052	170,324	162,873	177,441	165,801	181,023	183,760	178,121	160,536	166,685	2,071,879
4060 Utility Reimbursements	57,757	60,150	64,888	58,642	58,734	61,855	61,065	57,085	58,850	59,051	64,671	61,541	724,290
4070 Parking Income	284,490	292,839	311,423	316,981	316,679	308,387	318,567	314,952	300,945	317,677	321,900	287,566	3,692,405
4080 Application Fees	90,204	89,772	89,486	89,556	89,204	87,732	93,812	90,778	96,444	98,647	98,386	97,302	1,111,325
4090 Pet Rent	273,766	267,797	276,465	267,047	277,457	256,428	249,103	276,512	259,895	268,083	284,328	262,234	3,219,115
4100 Laundry Income	79,281	84,860	84,878	77,977	76,673	80,470	77,006	86,294	80,012	83,951	81,461	77,436	970,297
4110 Cable/Internet Revenue	250,129	266,271	243,765	243,577	265,201	240,979	255,465	269,678	253,169	240,975	272,936	266,776	3,068,922
4120 CAM Reimbursements	29,557	29,836	29,654	27,466	27,751	28,250	26,991	26,189	28,575	27,995	28,793	27,500	338,557
4130 Tax Reimbursements	210,643	213,075	217,101	216,627	215,640	218,926	228,898	232,565	208,622	227,639	213,452	232,283	2,635,470
4140 Insurance Reimbursemen	223,758	223,111	250,696	220,057	231,090	225,096	240,966	242,924	247,703	228,151	251,184	250,597	2,835,332
4150 Percentage Rent	51,033	54,066	54,389	51,511	57,501	57,272	54,742	50,781	56,218	51,761	56,025	57,282	652,580
4160 Misc. Income	260,617	264,220	264,530	267,608	272,990	239,543	268,768	250,574	273,083	260,977	268,263	260,043	3,151,216
4170 Payroll - Management	14,498	14,536	14,438	14,370	15,036	14,962	14,344	14,534	14,425	14,422	14,763	15,226	175,553
4180 Payroll - Leasing	35,668	35,144	36,777	39,624	39,850	37,302	39,852	36,296	36,567	39,469	35,572	37,667	449,788
4190 Payroll - Maintenance	46,655	46,777	49,524	45,913	45,446	46,335	49,328	48,117	48,018	49,007	48,743	49,721	573,583
4200 Payroll Taxes & Benefits	41,303	42,697	41,018	42,762	42,057	40,397	39,889	43,308	39,227	42,570	44,392	41,923	501,544
4210 Repairs - Plumbing	30,220	29,230	26,742	26,632	27,770	29,058	29,758	29,498	29,286	27,155	27,733	29,712	342,798
4220 Repairs - HVAC	37,006	35,454	34,530	33,828	36,250	33,208	36,789	37,603	37,938	33,960	33,586	37,586	427,737
4230 Repairs - Electrical	11,914	11,363	11,707	11,572	12,867	11,451	11,570	12,386	11,722	11,837	11,778	12,322	142,487
4240 Repairs - Appliances	50,635	50,723	49,489	49,283	48,785	48,726	45,256	46,333	47,921	48,617	49,394	44,940	580,102
4250 Painting & Decorating	14,063	13,378	12,886	12,953	13,361	13,775	12,623	13,269	12,641	13,057	12,711	13,313	158,027
4260 Flooring	35,572	38,752	39,327	39,238	35,783	40,001	38,864	39,389	35,614	36,552	38,145	36,481	453,718

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4450 Licenses & Permits	45,317	45,793	45,080	47,197	47,362	44,745	45,773	41,812	45,931	45,356	44,144	44,849	543,359
4460 Management Fee	6,294	6,991	6,941	7,025	6,665	6,429	6,758	6,313	6,553	6,618	6,346	6,372	79,304
4470 Property Insurance	20,361	20,054	19,564	18,707	18,349	19,011	18,590	19,755	19,695	18,426	18,157	19,381	230,049
4480 Real Estate Taxes	48,732	52,543	49,806	49,297	49,899	49,808	46,458	49,482	52,142	48,027	47,473	52,753	596,421
4490 Asset Management Fee	36,882	38,073	38,113	35,597	35,971	34,513	37,420	35,212	38,843	34,998	38,315	37,255	441,192
4500 Replacement Reserves	44,529	46,139	44,456	44,257	45,740	41,079	46,791	42,029	41,924	46,193	45,429	43,682	532,249
4510 Roof Repairs	38,353	42,329	38,989	39,770	42,509	41,636	38,980	37,583	41,281	40,309	40,235	41,699	483,672
4520 Parking Lot Repairs	6,619	6,727	6,433	6,634	6,789	6,364	6,764	6,412	6,950	6,977	6,851	6,349	79,870
4530 Signage	23,178	23,083	23,225	24,184	23,316	22,322	22,784	23,630	24,173	24,948	22,994	23,639	281,476
4540 Tenant Improvements	36,215	40,355	36,814	40,560	37,746	38,174	37,031	36,460	40,190	35,957	35,875	40,689	456,065
4550 Leasing Commissions	12,410	13,118	12,283	12,513	13,197	11,971	12,396	11,988	12,249	11,929	12,801	12,601	149,457
4000 Gross Potential Rent	430,086	437,638	399,901	393,329	387,988	423,758	395,166	398,878	443,778	414,077	421,958	427,326	4,973,880
4010 Loss to Lease	226,777	220,973	222,353	225,084	232,181	242,792	220,784	246,241	226,388	219,489	235,932	241,878	2,760,871
4020 Vacancy Loss	190,451	202,777	188,394	195,309	195,012	199,051	180,256	195,939	182,085	186,202	198,446	197,117	2,311,038
4030 Concessions	343,061	340,206	354,971	317,541	325,714	317,412	352,340	341,870	348,231	340,135	342,995	325,894	4,050,371
4040 Bad Debt	161,718	158,628	149,230	156,532	162,572	163,456	167,307	148,341	149,086	150,204	166,827	166,265	1,900,165
4050 Late Fees	271,791	241,925	241,279	248,880	260,770	253,546	253,011	266,841	240,644	250,394	252,532	269,687	3,051,301
4060 Utility Reimbursements	330,182	304,140	300,590	341,189	310,169	330,933	326,391	325,368	310,365	307,879	314,981	307,145	3,809,331
4070 Parking Income	361,883	348,353	335,464	320,257	362,505	329,484	338,613	326,052	364,407	331,415	343,663	366,917	4,129,011
4080 Application Fees	48,061	51,432	46,671	48,413	44,924	47,480	45,512	48,682	50,577	50,917	49,534	49,328	581,530
4090 Pet Rent	257,145	250,841	253,416	248,256	248,005	254,278	248,053	254,189	250,576	256,535	239,479	248,194	3,008,968
4100 Laundry Income	21,605	22,820	21,019	23,129	22,359	23,899	22,479	24,034	23,516	23,447	23,780	22,307	274,394
4110 Cable/Internet Revenue	342,804	325,557	351,463	332,419	352,828	357,476	337,014	316,051	327,504	329,549	359,559	320,332	4,052,556
4120 CAM Reimbursements	315,428	311,587	317,980	334,627	319,205	299,938	309,919	323,034	339,416	337,408	339,967	325,496	3,874,007
4130 Tax Reimbursements	5,688	5,385	5,683	5,627	5,113	5,273	5,136	5,612	5,617	5,182	5,573	5,435	65,324
4140 Insurance Reimbursemen	121,740	122,102	132,927	125,797	119,695	124,420	123,713	125,971	119,458	135,106	124,707	127,421	1,503,056
4150 Percentage Rent	316,107	327,905	335,862	340,029	334,154	309,124	320,782	350,803	351,095	333,401	311,212	334,124	3,964,598
4160 Misc. Income	112,101	114,784	107,401	113,273	112,326	105,393	115,541	108,309	115,630	113,286	108,500	115,670	1,342,215
4170 Payroll - Management	18,063	18,088	17,614	17,095	16,647	15,948	17,049	18,163	18,074	18,195	17,102	17,664	209,702
4180 Payroll - Leasing	46,439	46,032	48,358	49,121	48,757	51,538	48,683	48,893	49,990	48,645	46,046	45,416	577,917
4190 Payroll - Maintenance	34,737	33,878	35,142	34,826	34,381	32,296	32,394	31,541	31,806	31,953	32,847	34,547	400,350
4200 Payroll Taxes & Benefits	3,946	4,086	4,451	3,936	4,448	4,497	4,242	3,997	4,069	4,457	4,009	4,382	50,519
4210 Repairs - Plumbing	24,631	24,979	23,629	23,559	23,516	25,151	23,156	24,028	22,823	22,398	23,368	23,617	284,853
4220 Repairs - HVAC	24,111	21,622	24,658	22,234	23,672	22,002	23,728	23,461	23,585	22,137	22,429	23,941	277,581
4230 Repairs - Electrical	28,519	28,551	26,874	26,240	27,476	26,953	27,635	27,471	25,985	26,524	26,301	27,286	325,814
4240 Repairs - Appliances	23,002	23,743	24,375	24,860	24,544	23,261	24,145	24,166	24,670	23,576	24,829	23,831	289,001
4250 Painting & Decorating	45,685	50,989	48,743	50,226	46,536	48,233	51,938	50,357	52,193	46,516	47,139	48,316	586,873
4260 Flooring	33,332	32,034	36,003	32,420	31,662	35,393	35,464	36,096	33,628	31,534	35,432	34,220	407,219
4270 Make-Ready / Turnover	36,029	37,379	37,001	34,836	34,076	37,396	36,439	34,444	35,133	35,651	38,068	34,570	431,022
4280 Landscaping Contract	40,505	36,788	40,109	39,575	37,832	36,109	36,502	38,023	36,953	40,138	37,304	37,971	457,807
4290 Snow Removal	6,054	6,012	5,594	5,574	5,866	5,795	5,747	6,136	5,631	5,441	5,999	5,862	69,712
4300 Janitorial	35,772	36,136	34,262	37,107	35,462	35,007	32,996	37,047	36,986	35,409	34,969	32,867	424,020
4310 Pest Control	25,501	25,927	27,368	24,836	24,203	24,416	26,317	26,833	23,878	27,270	24,012	26,780	307,342
4320 Trash Removal	42,871	43,400	44,911	45,279	45,775	44,379	47,216	43,809	41,513	41,910	41,872	42,757	525,692
4330 Elevator Contract	38,302	37,942	42,310	40,126	37,416	41,444	38,480	39,376	40,348	37,767	42,761	40,621	476,894

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Income and Expense Review

Resident turnover has averaged 4.4% annually with renewal retention above 96.6%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 7.18x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $466,000 or approximately 42.22 per square foot, with real estate taxes representing the largest line item.

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.53% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 13.6% annually with renewal retention above 93.0%. Effective gross income for the trailing period was $465,000, representing a 10.6% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 5 hours. Collections for the period were 91.4% of billed charges, with bad debt of 3.8% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Collections for the period were 88.8% of billed charges, with bad debt of 6.0% of gross potential income. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members.

Financial Analysis

Effective gross income for the trailing period was $474,000, representing a 8.7% increase over the prior year. Resident turnover has averaged 12.7% annually with renewal retention above 90.5%. Operating expenses totaled $48,000 or approximately 40.19 per square foot, with real estate taxes representing the largest line item. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

The going-in capitalization rate of 5.44% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $36,000 or approximately 46.08 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 7 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 96.9% of billed charges, with bad debt of 3.5% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Income and Expense Review

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 2.6% annually with renewal retention above 94.2%.

The going-in capitalization rate of 6.20% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $258,000, representing a 7.3% increase over the prior year.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4340 Fire & Life Safety	43,660	42,251	43,510	40,190	43,354	41,845	38,503	39,451	43,108	42,823	43,509	40,410	502,613
4350 Security	31,771	30,298	33,853	33,083	32,469	33,567	32,969	33,171	29,568	29,731	33,717	33,912	388,110
4360 Electricity - Common	25,347	22,908	24,848	25,150	24,635	23,390	23,563	23,904	25,687	25,578	24,000	23,386	292,396
4370 Gas - Common	19,093	19,800	18,590	18,454	19,711	18,779	19,163	18,397	19,026	18,086	19,832	18,186	227,118
4380 Water & Sewer	8,052	7,993	8,442	7,893	7,962	8,694	8,664	7,943	8,070	8,938	8,724	7,996	99,372
4390 Telephone/Internet	9,804	9,815	9,142	8,971	9,636	9,656	9,271	8,819	9,200	8,842	9,663	9,342	112,160
4400 Advertising	8,840	9,432	8,998	9,088	8,937	9,206	9,931	9,043	9,353	9,491	9,348	9,718	111,384
4410 Resident Events	13,256	15,061	13,810	14,015	13,523	14,903	13,814	15,178	15,103	13,224	15,090	14,554	171,530
4420 Office Supplies	4,509	4,483	4,236	4,676	4,550	4,685	4,341	4,721	4,686	4,732	4,250	4,475	54,346
4430 Legal & Professional	11,750	12,206	11,806	12,239	11,610	12,210	12,501	11,835	12,245	12,054	11,622	11,462	143,539
4440 Accounting & Audit	24,880	23,478	24,216	23,103	22,201	24,571	22,986	24,217	21,972	23,365	22,590	23,520	281,098
4450 Licenses & Permits	43,605	43,853	43,605	43,199	44,234	41,454	40,469	42,791	40,570	41,376	41,870	42,321	509,348
4460 Management Fee	35,738	40,283	36,375	38,439	36,483	35,966	36,761	36,571	38,693	35,962	35,813	39,426	446,510
4470 Property Insurance	30,281	28,470	32,659	31,265	31,072	29,981	32,606	30,502	29,977	28,902	31,885	32,249	369,850
4480 Real Estate Taxes	41,404	38,210	38,906	39,134	38,952	39,590	39,069	38,792	40,145	40,844	38,103	37,399	470,549
4490 Asset Management Fee	25,499	25,217	25,586	22,756	24,265	26,130	24,657	24,678	22,787	24,257	25,818	23,853	295,505
4500 Replacement Reserves	44,282	47,209	43,740	46,440	42,583	46,939	44,913	45,304	47,243	44,730	44,113	45,669	543,165
4510 Roof Repairs	25,416	24,588	26,601	26,873	25,255	24,537	25,309	25,494	26,368	25,280	27,182	27,196	310,099
4520 Parking Lot Repairs	20,992	20,870	22,336	21,382	20,351	20,406	22,740	22,331	21,226	20,405	22,231	22,704	257,972
4530 Signage	50,589	51,470	50,395	49,727	51,334	47,650	50,678	51,080	51,649	46,402	48,781	52,285	602,039
4540 Tenant Improvements	22,517	22,581	23,659	25,367	23,618	25,023	24,897	22,437	25,507	24,240	24,453	24,490	288,788
4550 Leasing Commissions	12,546	13,412	13,783	12,570	12,338	13,434	14,008	13,895	13,299	12,913	12,928	12,828	157,953
4000 Gross Potential Rent	424,652	405,696	416,506	402,353	405,927	413,220	417,713	434,885	411,185	406,150	417,188	394,331	4,949,805
4010 Loss to Lease	214,726	216,486	214,196	208,426	214,474	216,482	201,816	211,047	225,572	210,212	227,885	202,962	2,564,283
4020 Vacancy Loss	56,156	53,481	54,444	54,560	58,109	55,277	57,036	58,240	55,753	54,144	56,992	51,715	665,906
4030 Concessions	272,024	295,493	295,980	263,931	262,939	284,104	262,629	283,299	265,757	272,913	291,781	291,142	3,341,991
4040 Bad Debt	304,891	302,538	293,607	309,497	296,921	301,295	299,380	305,752	326,946	312,770	312,107	293,017	3,658,720
4050 Late Fees	68,531	74,899	67,160	73,010	67,212	70,349	75,538	66,673	68,389	73,553	70,264	76,276	851,851
4060 Utility Reimbursements	121,972	122,466	121,282	116,874	120,423	133,928	121,939	121,602	131,577	120,946	126,639	129,716	1,489,366
4070 Parking Income	196,954	179,728	186,274	187,722	194,632	182,933	176,313	176,677	191,960	191,582	177,622	179,295	2,221,692
4080 Application Fees	58,688	56,689	60,921	61,107	54,354	56,786	56,205	56,878	59,558	54,385	57,258	60,663	693,493
4090 Pet Rent	57,951	51,125	52,465	56,645	53,270	56,279	56,488	58,152	58,460	53,122	57,948	54,800	666,704
4100 Laundry Income	23,057	22,754	23,282	21,616	22,934	21,630	23,295	21,882	21,605	21,294	21,498	23,303	268,149
4110 Cable/Internet Revenue	140,525	137,609	136,401	142,408	130,097	134,402	138,661	140,262	132,346	145,275	126,697	137,297	1,641,980
4120 CAM Reimbursements	206,875	197,266	186,964	196,264	205,456	201,925	185,425	204,360	209,499	193,875	197,602	184,415	2,369,926
4130 Tax Reimbursements	266,479	279,986	279,978	264,980	283,980	300,979	271,691	268,756	291,669	278,004	264,079	301,601	3,352,183
4140 Insurance Reimbursemen	175,013	178,422	161,817	176,887	157,656	169,828	178,456	173,129	164,014	165,012	158,836	169,693	2,028,764
4150 Percentage Rent	278,904	270,974	274,016	268,212	259,832	274,444	264,918	287,347	290,268	258,947	263,759	263,858	3,255,481
4160 Misc. Income	138,739	145,006	131,144	133,009	133,608	140,957	131,130	146,310	144,249	131,688	138,891	132,897	1,647,628
4170 Payroll - Management	15,131	14,590	15,630	14,278	15,697	14,055	15,076	13,758	14,705	15,557	15,393	13,919	177,789
4180 Payroll - Leasing	45,901	41,880	47,145	44,967	42,031	47,127	45,652	42,861	46,170	46,309	45,142	42,434	537,619
4190 Payroll - Maintenance	49,734	51,265	49,438	47,863	46,447	46,817	47,106	48,949	46,611	51,242	47,961	51,665	585,097
4200 Payroll Taxes & Benefits	8,276	7,696	7,645	7,479	7,526	7,489	7,705	7,492	7,638	7,466	8,141	8,447	93,000
4210 Repairs - Plumbing	35,525	33,548	32,654	31,127	33,006	33,929	34,750	32,319	35,295	33,860	32,423	32,141	400,578
4220 Repairs - HVAC	15,377	15,158	14,570	15,559	15,161	15,173	15,520	14,311	14,161	15,452	14,744	14,932	180,119

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Operating Performance

Operating expenses totaled $107,000 or approximately 18.50 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Resident turnover has averaged 3.7% annually with renewal retention above 92.7%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 7.04% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $146,000 or approximately 12.02 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $464,000, representing a 6.6% increase over the prior year. Debt service coverage ratio was 5.14x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 8.14% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. Collections for the period were 95.7% of billed charges, with bad debt of 6.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. Service requests are tracked through a work-order system with an average completion time of 9 hours.

Valuation Discussion

Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.51x on a trailing basis against a covenant minimum of 1.20x. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Resident turnover has averaged 10.8% annually with renewal retention above 93.6%.

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 89.6% of billed charges, with bad debt of 5.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. Resident turnover has averaged 10.2% annually with renewal retention above 94.8%.

Operating Performance

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. The going-in capitalization rate of 7.22% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $104,000 or approximately 7.59 per square foot, with real estate taxes representing the largest line item.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	8,516	9,434	9,233	8,563	8,371	8,733	8,495	8,430	9,577	9,167	8,401	9,535	106,456
4210 Repairs - Plumbing	31,898	31,127	29,874	28,619	28,717	29,984	28,370	28,444	28,499	32,052	32,111	30,735	360,430
4220 Repairs - HVAC	40,737	43,840	42,632	39,865	45,056	42,091	45,245	41,352	43,259	43,001	41,328	44,472	512,878
4230 Repairs - Electrical	41,900	42,060	40,772	40,551	42,746	40,569	43,352	44,972	45,039	40,238	44,852	44,146	511,197
4240 Repairs - Appliances	27,519	27,748	30,352	27,896	28,049	30,487	29,808	27,772	27,285	27,824	29,920	30,819	345,479
4250 Painting & Decorating	14,398	13,446	13,339	13,383	14,984	13,384	13,520	14,962	13,318	14,906	14,544	13,994	168,177
4260 Flooring	21,373	20,436	22,434	23,238	20,744	21,332	23,039	21,646	21,628	22,447	20,472	22,770	261,557
4270 Make-Ready / Turnover	4,852	4,236	4,338	4,634	4,593	4,297	4,694	4,369	4,308	4,307	4,428	4,850	53,908
4280 Landscaping Contract	29,141	28,916	29,125	28,554	30,337	30,908	30,204	30,158	27,483	27,591	30,719	30,150	353,286
4290 Snow Removal	20,264	18,217	19,347	19,858	20,469	18,581	18,183	19,795	18,429	20,579	20,566	18,427	232,716
4300 Janitorial	41,287	41,402	41,770	42,579	39,568	40,866	42,587	43,923	39,491	39,378	39,525	43,259	495,635
4310 Pest Control	25,471	25,806	26,945	24,088	26,909	25,267	25,319	24,161	26,861	26,893	24,944	27,506	310,168
4320 Trash Removal	7,113	6,959	7,629	7,626	7,348	7,063	7,537	7,291	6,875	7,318	7,234	6,884	86,877
4330 Elevator Contract	35,726	33,937	36,095	37,582	34,064	38,270	38,395	35,420	34,817	34,676	38,405	37,756	435,144
4340 Fire & Life Safety	44,440	40,396	44,920	43,030	42,854	42,634	42,348	41,316	42,327	42,363	41,133	44,490	512,252
4350 Security	15,446	14,618	15,243	15,876	15,950	16,314	15,246	14,539	15,527	16,466	14,660	16,137	186,021
4360 Electricity - Common	6,128	6,053	5,863	5,726	5,981	6,227	5,842	5,749	6,131	5,615	6,242	5,597	71,154
4370 Gas - Common	24,499	24,124	22,419	23,298	24,345	22,321	22,279	23,372	24,966	23,105	23,678	23,084	281,491
4380 Water & Sewer	46,519	45,734	45,206	45,665	44,824	44,920	43,935	49,791	44,779	44,401	46,517	47,697	549,988
4390 Telephone/Internet	41,443	42,798	43,811	42,618	42,955	44,955	45,946	41,047	44,825	44,755	41,748	44,649	521,550
4400 Advertising	5,228	5,404	5,583	5,244	5,743	5,070	5,693	5,120	5,502	5,079	5,213	5,498	64,377
4410 Resident Events	20,331	19,786	20,696	20,611	19,903	20,460	20,500	19,172	21,018	21,714	20,934	20,180	245,305
4420 Office Supplies	33,748	34,180	35,734	36,367	37,250	37,258	37,554	38,244	37,701	38,479	36,230	37,536	440,283
4430 Legal & Professional	28,521	26,760	25,820	26,160	28,604	26,442	25,506	26,296	25,526	27,521	27,051	28,625	322,833
4440 Accounting & Audit	7,812	8,103	7,462	7,714	7,835	7,904	8,007	7,319	7,913	8,091	7,297	7,438	92,894
4450 Licenses & Permits	45,259	44,275	45,278	44,993	45,130	43,913	44,295	44,678	39,834	42,757	40,944	44,301	525,659
4460 Management Fee	44,609	41,587	42,061	43,380	40,006	40,472	40,544	44,547	42,110	44,855	42,341	42,290	508,802
4470 Property Insurance	7,107	6,978	7,424	6,947	7,278	6,887	6,990	7,296	6,587	7,327	7,073	6,611	84,504
4480 Real Estate Taxes	20,147	22,595	22,458	21,814	21,170	20,965	21,809	20,880	21,590	22,071	20,940	22,244	258,683
4490 Asset Management Fee	28,252	31,057	28,746	29,809	28,455	31,166	30,940	30,727	31,038	29,682	27,889	31,144	358,904
4500 Replacement Reserves	36,077	34,847	33,403	33,690	32,721	36,846	34,039	33,971	32,694	35,600	33,348	33,650	410,886
4510 Roof Repairs	23,301	23,542	24,560	22,757	22,671	23,696	22,921	22,952	24,113	22,835	23,715	22,417	279,480
4520 Parking Lot Repairs	37,427	36,937	34,136	36,557	35,869	38,115	35,109	36,868	37,506	34,310	34,920	36,400	434,152
4530 Signage	32,444	33,712	33,266	34,118	33,215	33,292	30,730	32,884	32,636	34,288	33,914	31,064	395,563
4540 Tenant Improvements	33,387	33,834	32,409	33,331	34,312	33,310	32,881	34,103	36,134	36,622	33,779	36,342	410,444
4550 Leasing Commissions	6,740	6,452	6,423	6,394	6,466	6,218	6,722	5,861	5,957	6,492	6,303	5,878	75,904
4000 Gross Potential Rent	430,774	401,747	396,910	405,537	401,751	400,821	429,921	408,243	390,186	395,708	388,347	442,728	4,892,673
4010 Loss to Lease	297,595	305,188	290,663	272,945	281,709	281,524	291,656	288,893	283,866	289,057	286,096	289,941	3,459,132
4020 Vacancy Loss	263,333	260,378	270,330	289,043	278,190	285,650	262,305	272,681	294,511	285,286	282,913	274,718	3,319,339
4030 Concessions	158,918	139,438	153,516	147,998	155,248	146,108	143,860	147,642	158,379	159,125	159,122	152,482	1,821,835
4040 Bad Debt	295,166	294,755	269,170	292,364	267,853	290,259	281,376	293,686	298,930	260,792	289,958	292,499	3,426,807
4050 Late Fees	54,659	52,102	51,110	52,780	49,897	55,616	54,635	49,779	54,137	51,124	50,794	54,645	631,278
4060 Utility Reimbursements	172,505	158,641	165,189	155,928	155,686	163,862	166,220	168,183	157,919	170,119	168,306	167,111	1,969,669
4070 Parking Income	203,847	197,983	200,767	208,354	201,116	184,899	200,888	185,781	198,724	200,558	202,453	182,772	2,368,141

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Valuation Discussion

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Operating expenses totaled $209,000 or approximately 27.76 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period.

Effective gross income for the trailing period was $11,000, representing a 7.6% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 7.30% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 43 hours. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 93.3% of billed charges, with bad debt of 3.8% of gross potential income. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Collections for the period were 94.2% of billed charges, with bad debt of 4.1% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 12 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Financial Analysis

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.71x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Debt service coverage ratio was 6.63x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.15% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $479,000, representing a 13.6% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Resident turnover has averaged 5.1% annually with renewal retention above 93.6%. Collections for the period were 91.7% of billed charges, with bad debt of 5.9% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 3.8% annually with renewal retention above 88.1%. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Service requests are tracked through a work-order system with an average completion time of 19 hours.

Operating Performance

Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 6.49x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $119,000, representing a 2.7% increase over the prior year.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4160 Misc. Income	345,320	320,516	328,549	333,393	328,577	344,581	308,315	310,139	305,086	342,109	314,718	313,320	3,894,622
4170 Payroll - Management	19,068	20,513	19,130	20,651	21,064	18,859	19,034	19,396	19,903	21,109	20,595	20,889	240,210
4180 Payroll - Leasing	30,931	31,319	32,530	31,586	31,745	30,501	31,714	30,446	29,168	32,165	31,027	29,307	372,439
4190 Payroll - Maintenance	28,368	29,828	29,910	30,048	28,365	27,850	28,672	29,679	30,176	27,084	27,969	28,606	346,556
4200 Payroll Taxes & Benefits	25,929	25,033	25,987	25,759	23,532	25,454	24,300	24,468	24,228	24,586	25,175	25,317	299,770
4210 Repairs - Plumbing	16,413	17,139	17,166	16,776	16,950	16,641	17,714	17,305	18,375	17,994	17,652	17,604	207,730
4220 Repairs - HVAC	18,847	18,776	18,723	19,509	19,712	20,553	17,942	20,385	20,166	17,941	19,597	18,505	230,657
4230 Repairs - Electrical	35,824	36,588	35,979	38,804	38,044	38,708	35,581	36,001	36,345	36,331	39,251	36,275	443,733
4240 Repairs - Appliances	20,670	18,500	20,222	18,294	20,833	20,941	18,271	20,847	19,804	18,423	20,670	19,713	237,186
4250 Painting & Decorating	14,543	14,427	13,451	13,991	14,212	14,174	14,412	13,339	14,723	13,608	14,679	14,200	169,759
4260 Flooring	44,237	43,038	46,276	42,893	44,611	42,920	43,435	41,078	43,012	44,148	41,175	43,630	520,453
4270 Make-Ready / Turnover	32,214	32,445	31,542	30,206	30,944	30,827	33,614	30,021	32,230	33,213	32,174	32,218	381,648
4280 Landscaping Contract	45,647	44,146	42,750	43,562	41,934	45,505	47,607	43,549	47,534	42,342	45,147	44,537	534,258
4290 Snow Removal	21,119	19,192	19,526	21,326	21,357	19,481	21,074	21,472	20,862	20,903	19,158	19,430	244,900
4300 Janitorial	47,581	44,757	43,602	44,578	42,781	42,680	47,937	47,227	48,003	46,900	46,195	44,759	547,000
4310 Pest Control	32,074	31,858	33,340	33,091	30,186	31,775	33,063	32,086	33,333	32,600	30,359	31,417	385,181
4320 Trash Removal	46,026	43,711	44,705	46,272	45,983	44,185	41,890	46,463	44,365	42,892	45,289	43,890	535,669
4330 Elevator Contract	43,976	44,514	48,021	49,287	44,769	48,967	48,737	49,265	46,403	46,677	46,895	48,147	565,658
4340 Fire & Life Safety	8,155	7,890	7,500	7,716	8,049	7,687	7,731	8,037	8,303	7,233	7,607	8,112	94,020
4350 Security	22,340	21,101	20,613	22,146	20,703	22,280	20,938	21,097	22,930	21,727	21,037	23,538	260,449
4360 Electricity - Common	12,256	12,659	12,145	13,011	12,994	12,377	12,492	12,754	12,772	13,262	13,517	13,563	153,801
4370 Gas - Common	17,729	18,100	18,104	18,840	18,299	19,001	17,237	17,261	17,285	18,404	18,818	17,321	216,398
4380 Water & Sewer	22,372	22,094	21,445	23,606	23,396	22,469	22,303	23,675	23,821	22,072	24,297	22,619	274,171
4390 Telephone/Internet	30,812	30,538	29,739	29,911	31,965	29,953	29,041	29,422	29,296	31,925	28,218	28,006	358,827
4400 Advertising	5,178	5,146	5,141	5,196	5,075	5,378	5,010	5,062	5,124	5,324	5,212	5,449	62,295
4410 Resident Events	37,256	38,298	37,454	40,927	41,145	41,099	39,781	42,696	41,752	41,319	37,298	41,425	480,452
4420 Office Supplies	29,562	27,556	26,752	29,323	29,656	28,588	26,269	26,550	28,871	27,111	26,533	26,302	333,072
4430 Legal & Professional	36,441	37,468	38,850	38,055	37,957	38,985	34,962	37,528	39,923	35,087	36,365	39,182	450,803
4440 Accounting & Audit	41,967	40,335	40,876	39,269	40,177	38,917	42,940	40,110	42,265	42,944	39,492	44,261	493,553
4450 Licenses & Permits	14,658	16,056	16,077	14,435	15,522	16,149	16,077	14,750	16,100	15,282	15,290	14,915	185,311
4460 Management Fee	50,742	50,091	45,512	48,164	49,526	48,229	45,067	50,613	48,851	50,894	48,949	48,623	585,262
4470 Property Insurance	26,933	26,497	25,543	27,010	24,990	25,081	26,917	26,293	26,376	26,814	24,498	25,627	312,578
4480 Real Estate Taxes	34,102	33,819	37,621	34,564	37,599	37,058	34,406	35,814	36,797	36,688	36,201	33,737	428,406
4490 Asset Management Fee	34,546	35,679	34,033	33,912	32,576	34,891	35,249	32,364	35,063	32,819	35,785	32,748	409,664
4500 Replacement Reserves	35,907	37,571	36,396	37,846	35,431	33,714	34,194	33,565	36,877	34,687	38,089	36,447	430,726
4510 Roof Repairs	32,353	32,104	30,996	29,848	33,692	33,734	31,276	33,983	31,453	29,874	33,859	30,920	384,093
4520 Parking Lot Repairs	13,469	13,542	14,371	13,521	13,108	14,459	14,660	14,320	14,419	13,130	13,427	14,850	167,277
4530 Signage	45,639	46,419	46,881	44,541	45,145	42,465	44,280	46,431	45,142	42,197	45,961	43,589	538,691
4540 Tenant Improvements	48,670	43,510	47,965	49,428	48,426	46,257	46,035	47,980	49,490	44,770	47,923	47,652	568,106
4550 Leasing Commissions	46,235	48,046	45,122	43,753	43,765	47,542	46,986	45,197	43,027	44,241	45,185	46,086	545,184
4000 Gross Potential Rent	390,827	406,998	409,849	433,280	417,103	414,859	436,131	389,223	434,964	425,443	443,728	438,604	5,041,010
4010 Loss to Lease	184,389	185,519	206,527	190,473	191,381	199,590	185,218	202,018	203,600	194,444	188,607	208,371	2,340,138
4020 Vacancy Loss	296,008	260,891	287,543	263,478	296,963	264,502	271,554	293,642	266,209	264,762	275,730	264,100	3,305,382
4030 Concessions	250,693	240,151	232,071	251,312	242,198	231,458	237,814	244,179	254,701	234,397	231,539	237,011	2,887,523
4040 Bad Debt	113,904	115,942	124,503	124,585	120,042	121,330	129,239	121,625	127,199	117,045	116,506	118,225	1,450,145
4050 Late Fees	21,759	24,115	22,312	24,128	22,254	22,159	24,143	22,343	23,907	22,445	23,362	23,083	276,010

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Valuation Discussion

The going-in capitalization rate of 6.49% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $478,000, representing a 9.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period.

Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Debt service coverage ratio was 6.19x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.80% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 10.6% annually with renewal retention above 89.8%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 94.2% of billed charges, with bad debt of 7.8% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 4.4% annually with renewal retention above 89.5%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members.

Resident turnover has averaged 9.6% annually with renewal retention above 88.9%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 35 additional team members. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Collections for the period were 88.6% of billed charges, with bad debt of 7.2% of gross potential income.

Valuation Discussion

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 5.50% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. Operating expenses totaled $163,000 or approximately 38.55 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period.

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Debt service coverage ratio was 7.10x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. The going-in capitalization rate of 5.98% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 7.2% annually with renewal retention above 96.2%. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 11 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Service requests are tracked through a work-order system with an average completion time of 37 hours. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 3.4% annually with renewal retention above 91.9%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Resident turnover has averaged 5.1% annually with renewal retention above 93.4%. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 7.61x on a trailing basis against a covenant minimum of 1.20x.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4060 Utility Reimbursements	347,632	341,484	360,510	329,123	373,402	334,835	356,833	371,080	359,882	335,490	364,800	333,784	4,208,856
4070 Parking Income	338,042	349,805	351,025	371,331	363,249	328,308	354,702	345,406	340,397	356,448	370,702	369,981	4,239,394
4080 Application Fees	68,065	73,532	70,955	73,745	71,934	70,770	67,687	74,428	68,479	67,709	67,151	76,024	850,480
4090 Pet Rent	107,483	113,079	115,289	117,675	118,923	119,194	106,169	116,406	113,908	104,530	105,199	106,267	1,344,122
4100 Laundry Income	302,392	309,941	319,110	306,258	318,817	314,009	321,974	315,149	317,557	321,796	310,250	308,216	3,765,468
4110 Cable/Internet Revenue	123,211	120,207	123,368	112,834	124,483	119,590	117,983	116,850	119,543	121,429	120,866	115,150	1,435,513
4120 CAM Reimbursements	69,874	63,542	63,653	64,420	70,278	63,640	70,776	63,425	63,306	66,591	65,195	71,298	795,998
4130 Tax Reimbursements	234,727	244,601	236,740	236,679	241,437	247,510	256,016	261,815	251,751	255,796	250,190	260,458	2,977,720
4140 Insurance Reimbursemen	336,780	332,087	297,851	312,264	329,852	337,413	309,170	341,141	334,815	328,240	304,469	338,384	3,902,467
4150 Percentage Rent	124,998	121,632	125,857	129,436	117,800	126,369	119,025	129,617	130,463	115,663	129,675	115,415	1,485,949
4160 Misc. Income	194,922	183,175	179,256	186,885	189,977	199,217	186,832	186,546	179,177	182,945	179,608	181,944	2,230,484
4170 Payroll - Management	9,404	9,544	9,456	9,349	9,848	9,621	9,436	10,285	10,305	10,184	9,434	9,147	116,011
4180 Payroll - Leasing	11,834	11,472	12,162	11,252	11,571	11,112	12,121	10,953	12,294	11,249	12,004	12,406	140,430
4190 Payroll - Maintenance	22,440	21,633	21,273	21,243	20,486	20,785	21,868	21,963	21,110	22,039	22,595	23,149	260,584
4200 Payroll Taxes & Benefits	47,299	43,060	42,453	42,944	48,570	44,936	45,612	43,968	44,931	48,582	47,605	43,157	543,118
4210 Repairs - Plumbing	9,975	11,340	10,760	10,000	11,260	10,160	11,213	10,007	10,454	11,365	10,027	10,447	127,011
4220 Repairs - HVAC	14,656	14,594	14,487	14,446	14,122	13,911	14,248	13,344	14,519	14,058	14,403	14,797	171,587
4230 Repairs - Electrical	5,462	5,724	5,849	6,132	5,656	5,883	5,878	6,201	5,449	6,211	5,978	5,974	70,397
4240 Repairs - Appliances	33,310	32,647	32,665	33,267	32,779	31,369	30,700	32,980	33,238	32,856	28,997	30,723	385,532
4250 Painting & Decorating	45,617	49,358	51,321	46,376	50,251	46,603	45,879	48,786	50,759	46,082	51,177	48,103	580,310
4260 Flooring	16,445	15,223	14,942	15,452	16,613	15,606	15,212	15,050	15,982	15,424	15,780	14,936	186,665
4270 Make-Ready / Turnover	29,337	30,617	31,116	31,474	30,339	30,560	31,429	29,748	32,390	32,446	30,602	29,918	369,975
4280 Landscaping Contract	21,201	19,111	20,272	19,320	20,260	21,098	20,541	19,635	19,260	21,224	20,825	21,204	243,952
4290 Snow Removal	28,055	28,949	28,470	31,895	31,880	31,023	31,012	28,199	28,328	29,657	31,524	30,560	359,551
4300 Janitorial	37,719	40,621	40,771	42,666	42,648	40,064	41,735	41,977	37,688	37,297	37,598	42,007	482,790
4310 Pest Control	23,663	23,594	22,972	22,313	22,112	21,603	23,670	21,620	21,249	23,331	23,549	20,990	270,666
4320 Trash Removal	7,735	7,363	7,949	8,250	7,334	7,785	8,005	7,910	7,518	7,276	7,982	7,786	92,892
4330 Elevator Contract	29,713	30,370	28,934	29,192	30,085	30,870	30,949	29,095	29,759	30,669	28,671	29,602	357,911
4340 Fire & Life Safety	7,308	7,372	6,669	6,998	7,456	6,881	6,735	7,405	7,060	7,337	7,472	7,470	86,162
4350 Security	10,178	10,185	11,358	10,882	10,563	11,354	10,330	10,635	11,127	11,024	10,478	11,106	129,218
4360 Electricity - Common	43,430	48,450	43,664	48,495	42,779	42,689	44,126	43,722	46,666	43,511	48,392	46,436	542,360
4370 Gas - Common	42,193	44,363	46,935	47,008	43,426	45,256	46,797	46,313	42,261	43,542	45,067	42,556	535,717
4380 Water & Sewer	38,211	38,679	38,677	37,725	40,291	39,754	35,969	39,700	39,598	36,742	35,985	37,298	458,630
4390 Telephone/Internet	38,359	40,428	38,046	42,497	42,405	39,501	38,713	39,565	40,152	37,514	42,807	40,123	480,110
4400 Advertising	32,217	28,697	29,597	30,055	30,492	32,258	31,452	31,009	30,433	29,346	30,771	31,492	367,817
4410 Resident Events	17,458	18,186	18,611	19,911	17,622	18,632	17,889	18,593	17,485	17,671	18,917	17,631	218,606
4420 Office Supplies	18,931	18,966	20,867	20,266	20,718	19,571	18,496	19,958	18,730	18,184	18,968	18,865	232,522
4430 Legal & Professional	9,928	10,697	9,777	10,045	10,071	11,003	10,017	10,660	9,672	10,123	10,696	10,572	123,262
4440 Accounting & Audit	48,996	47,455	45,938	44,375	45,283	47,630	47,018	49,492	48,917	45,893	45,269	48,942	565,207
4450 Licenses & Permits	5,900	6,192	5,967	5,964	6,132	5,969	6,214	6,165	5,973	5,990	5,892	5,841	72,198
4460 Management Fee	16,281	15,397	14,877	15,561	15,132	16,212	14,997	15,210	16,702	15,202	16,170	15,164	186,905
4470 Property Insurance	34,795	35,630	34,364	34,347	33,200	34,659	34,925	37,007	34,793	36,506	34,503	32,542	417,271
4480 Real Estate Taxes	41,283	41,956	41,580	44,664	42,290	44,858	40,202	42,295	43,393	43,136	43,632	41,271	510,561
4490 Asset Management Fee	46,149	47,410	46,625	41,868	46,375	44,917	42,166	41,434	41,489	45,338	43,289	43,047	530,106
4500 Replacement Reserves	42,540	40,651	41,303	44,816	44,166	45,113	39,739	39,944	43,491	44,183	40,696	44,514	511,156
4510 Roof Repairs	8,789	9,553	9,117	9,622	9,605	8,554	9,103	8,954	9,666	9,622	9,322	8,957	110,863

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Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.78x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 5.55% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. Operating expenses totaled $286,000 or approximately 37.51 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 42 hours. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Service requests are tracked through a work-order system with an average completion time of 27 hours.

Financial Analysis

Effective gross income for the trailing period was $103,000, representing a 2.3% increase over the prior year. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $268,000 or approximately 22.92 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 7.3% annually with renewal retention above 96.2%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Resident turnover has averaged 3.2% annually with renewal retention above 96.8%. Collections for the period were 94.9% of billed charges, with bad debt of 7.2% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 35 hours.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 96.1% of billed charges, with bad debt of 3.9% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Income and Expense Review

Operating expenses totaled $211,000 or approximately 8.00 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 8.00% reflects the in-place income and the stabilized occupancy assumption.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4460 Management Fee	48,216	49,379	46,663	48,780	46,058	48,158	46,587	50,789	46,793	48,563	49,068	48,892	577,947
4470 Property Insurance	33,289	35,649	34,544	33,004	33,925	31,825	32,697	35,089	33,301	31,992	33,476	34,303	403,092
4480 Real Estate Taxes	34,225	30,257	30,093	30,871	31,181	30,384	33,744	32,752	32,910	30,761	31,078	30,805	379,061
4490 Asset Management Fee	35,082	38,600	34,765	38,975	37,644	35,251	37,211	35,155	37,704	34,990	37,121	35,106	437,605
4500 Replacement Reserves	14,274	13,687	14,113	13,940	13,972	13,037	14,291	13,755	14,321	14,380	13,968	14,092	167,832
4510 Roof Repairs	9,013	9,022	8,826	7,907	8,503	8,658	8,789	8,663	8,505	8,374	8,911	9,009	104,181
4520 Parking Lot Repairs	40,032	40,933	40,858	41,375	40,940	41,701	43,476	40,061	41,121	41,510	40,934	39,407	492,347
4530 Signage	14,776	14,955	13,444	13,882	14,695	14,613	13,402	13,679	14,736	14,151	14,413	13,226	169,973
4540 Tenant Improvements	29,348	28,167	29,925	27,074	29,367	26,678	26,902	26,381	26,919	26,493	29,391	28,137	334,782
4550 Leasing Commissions	12,123	12,133	11,747	11,195	12,132	12,104	11,808	11,310	12,328	11,820	11,127	12,433	142,261
4000 Gross Potential Rent	431,060	409,969	417,789	408,140	444,657	403,592	387,077	437,170	428,313	420,734	435,864	425,209	5,049,574
4010 Loss to Lease	120,672	125,750	133,198	130,745	134,517	126,551	132,350	119,086	118,912	124,146	121,750	119,753	1,507,432
4020 Vacancy Loss	38,435	39,912	37,504	38,620	39,465	36,886	40,828	37,569	37,521	36,692	39,316	35,748	458,497
4030 Concessions	364,777	384,902	368,446	372,272	362,370	377,994	397,312	368,424	383,783	370,837	392,735	397,359	4,541,210
4040 Bad Debt	227,250	239,063	223,706	237,808	232,854	230,754	227,392	244,021	232,589	215,329	217,318	222,795	2,750,880
4050 Late Fees	139,444	149,367	152,742	139,776	149,466	141,144	136,232	143,214	147,584	135,229	150,424	155,148	1,739,768
4060 Utility Reimbursements	295,525	327,161	317,717	306,086	335,953	296,827	317,378	319,737	317,361	296,638	334,751	333,224	3,798,357
4070 Parking Income	151,377	151,984	170,136	155,233	170,148	152,945	168,322	166,584	152,617	152,718	168,684	168,537	1,929,284
4080 Application Fees	152,645	135,686	138,361	150,627	146,325	140,216	138,539	150,953	141,203	144,521	144,324	141,123	1,724,523
4090 Pet Rent	384,479	378,526	365,508	372,378	371,644	388,422	388,725	348,136	354,308	386,305	379,649	365,570	4,483,650
4100 Laundry Income	303,501	300,705	299,927	293,706	299,791	285,234	314,731	299,916	287,247	291,457	283,417	299,121	3,558,753
4110 Cable/Internet Revenue	187,999	207,458	188,379	187,243	186,951	187,223	198,942	206,924	195,344	183,282	197,319	194,945	2,322,009
4120 CAM Reimbursements	204,831	211,835	212,225	200,068	211,960	197,268	207,181	224,465	217,457	217,980	208,502	211,101	2,524,873
4130 Tax Reimbursements	352,846	360,343	366,610	339,474	387,901	379,524	383,472	340,036	356,367	385,684	361,858	368,252	4,382,368
4140 Insurance Reimbursemen	118,335	124,708	130,007	124,126	131,675	132,755	126,213	120,392	128,734	133,593	120,644	131,491	1,522,674
4150 Percentage Rent	304,674	286,788	293,597	279,609	284,484	307,819	298,362	303,792	297,844	299,003	307,473	314,440	3,577,884
4160 Misc. Income	369,833	340,677	336,096	383,972	383,700	373,179	358,588	339,833	372,161	373,311	374,109	341,737	4,347,196
4170 Payroll - Management	31,649	34,632	31,464	34,289	34,644	33,843	33,167	31,206	32,674	32,357	34,884	34,705	399,514
4180 Payroll - Leasing	31,170	31,335	28,245	30,612	31,508	31,567	31,571	27,503	29,887	29,358	31,276	28,874	362,904
4190 Payroll - Maintenance	13,098	14,150	13,770	13,571	12,782	13,042	13,283	12,752	13,641	13,352	12,445	13,791	159,677
4200 Payroll Taxes & Benefits	7,291	7,869	7,641	7,120	7,342	7,167	7,790	7,631	7,947	7,209	7,845	7,671	90,522
4210 Repairs - Plumbing	39,814	37,575	36,860	37,617	37,242	38,671	40,267	37,719	39,067	37,391	37,258	39,711	459,191
4220 Repairs - HVAC	13,248	15,024	15,208	14,828	14,123	13,941	13,744	13,454	13,278	13,277	13,355	14,189	167,670
4230 Repairs - Electrical	24,119	22,980	23,533	24,361	23,950	22,159	23,494	23,361	22,136	21,713	22,503	22,135	276,446
4240 Repairs - Appliances	37,920	39,049	38,565	37,445	35,172	39,004	36,416	38,382	38,848	38,343	37,146	38,402	454,693
4250 Painting & Decorating	16,790	16,349	17,586	15,695	17,482	17,665	16,258	17,192	16,296	17,183	16,688	15,823	201,007
4260 Flooring	35,267	35,727	31,652	34,191	34,623	31,988	33,095	34,274	33,903	35,062	35,466	34,460	409,707
4270 Make-Ready / Turnover	40,611	36,693	37,097	38,583	41,669	39,546	38,034	41,393	38,090	41,268	40,986	39,881	473,851
4280 Landscaping Contract	5,331	5,512	5,828	5,339	5,966	5,838	5,963	5,614	5,925	5,436	5,973	6,066	68,792
4290 Snow Removal	24,161	22,623	22,742	22,016	22,806	24,571	22,172	22,061	22,338	24,216	23,738	21,784	275,227
4300 Janitorial	19,603	19,060	18,882	19,445	19,165	20,874	20,818	18,875	19,324	20,402	20,894	19,863	237,205
4310 Pest Control	21,529	23,537	21,399	21,045	22,719	23,835	21,965	21,058	21,766	23,188	21,751	23,663	267,456
4320 Trash Removal	37,591	38,664	42,012	42,687	38,732	37,725	40,035	37,946	38,664	38,823	38,176	38,529	469,586
4330 Elevator Contract	10,063	10,895	10,081	9,806	10,056	10,320	9,826	10,263	9,978	10,803	10,458	9,845	122,395
4340 Fire & Life Safety	4,361	4,000	3,895	4,121	4,076	4,084	4,168	4,131	3,928	3,908	4,407	3,918	48,997

Report generated 09/01/2026. Figures are unaudited and subject to change.

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Financial Analysis

The going-in capitalization rate of 5.80% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 5.57x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Operating expenses totaled $392,000 or approximately 20.48 per square foot, with real estate taxes representing the largest line item.

The going-in capitalization rate of 7.63% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 6.8% annually with renewal retention above 94.7%. Management fees are calculated at 3.0% of collected revenue and are included in operating expenses.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 20 hours. Resident turnover has averaged 4.8% annually with renewal retention above 92.6%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Collections for the period were 90.3% of billed charges, with bad debt of 7.1% of gross potential income.

Financial Analysis

Debt service coverage ratio was 5.41x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 8.4% annually with renewal retention above 96.5%. Effective gross income for the trailing period was $77,000, representing a 4.2% increase over the prior year. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Operating expenses totaled $12,000 or approximately 46.54 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.45% reflects the in-place income and the stabilized occupancy assumption. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 8.6% annually with renewal retention above 90.9%. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 20 hours. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Collections for the period were 93.6% of billed charges, with bad debt of 4.7% of gross potential income. Resident turnover has averaged 3.1% annually with renewal retention above 92.6%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day.

Collections for the period were 91.9% of billed charges, with bad debt of 5.1% of gross potential income. Resident turnover has averaged 13.3% annually with renewal retention above 93.8%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Operating Performance

The going-in capitalization rate of 5.13% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $39,000 or approximately 9.38 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

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